WAGER & RISK MANAGEMENT

Section-C Cricket League (SCL) • Operational Protocol

1. SYSTEM OVERVIEW: POOLED LIQUIDITY

The SCL prediction market utilizes an **Automated Market Maker (AMM)** framework. To ensure liquidity and mathematical fairness, individual bets are not matched 1-to-1. Instead, stakes are consolidated into "Yes" and "No" pools, with the League Administration acting as the liquidity provider of last resort.

2. LIFECYCLE OF A WAGER

- 👉 **Initiation:** A manager proposes a condition and places the first stake.
- 👉 **Calibration:** Admins assign an objective probability percentage to lock the pool ratios.
- 👉 **Financial Veto:** A mandatory check to ensure the stake doesn't risk club solvency.
- 👉 **Peer Phase:** Other managers enter the "Yes" or "No" pools.
- 👉 **House Injection:** Admins balance the pools using House funds to ensure fair payouts.
- 👉 **Resolution:** The winning side splits the total pot proportionally.

> **The House Guarantee:**
> If peer interest is insufficient to meet the risk-adjusted payout (e.g., a 25% underdog needs a 3:1 payout), the House will inject the necessary funds to guarantee the winner is fully rewarded.

3. FINANCIAL SOLVENCY (BANKRUPTCY VETO)

> **The Rule:** Admins reserve absolute authority to cap or cancel any wager that threatens a club's long-term participation.
>
> **The Trigger:** If a stake risks immediate bankruptcy or leaves a club unable to participate in the upcoming draft, intervention is mandatory.

4. INTEGRITY & ANTI-FRAUD

Match-Fixing & Collusion: The Admin team monitors for suspicious gameplay or unnatural betting volumes. If integrity is compromised, the market is **voided immediately** and stakes are refunded.

5. OPERATIONAL EDGE CASES

- **Voided Markets:** Ambiguous or impossible conditions result in 100% refunds.
- **Dynamic Risk:** If mid-wager news breaks, pools are "frozen." A Phase 2 market may open with updated odds.
- **Consensus:** If admins disagree on risk, the mathematical average of blind estimates is used.